P230/1
ENTREPRENEURSHIP
EDUCATION
Paper 1
13th Aug 2026
3 hours

KWGSA

KAMPALA WAKISO GIANT SCHOOLS ASSOCIATION

Uganda Advanced Certificate of Education

ENTREPRENEURSHIP EDUCATION

Paper 1

3 hours

INSTRUCTIONS TO CANDIDATES:

This examination paper consists of **two** *sections;* **A** *and* **B**.

It has **four** *examination items.*

Section **A** *has* ***two*** **compulsory** *items.*

Section **B** *has* **two** *items. Respond to* **one**.

Respond to **three** *items in* **all**.

Responses to each part of the item **must** *be started on a fresh page.*

Any additional item(s) responded to will **not** *be scored.*

All *responses* **must** *be written in the answer booklet(s) provided.*

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SECTION A

Respond to **both** *items in this section*

Item 1

Buwangala is a small village in Kaliro district well known to be a leading producer and supplier of ripe fresh mangos, oranges and passion fruits. During periods of peak season, some go bad resulting into major losses to the people selling them along the Kampala – Kaliro road. You have seen the extent of losses suffered by the raod sellers and wanted to work with them start a small scale Juice processing plant in Buwangala village to enable them preserve and also add value to their fruits.

They are now requesting you to guide them on how to go over your innovation to enable them not to suffer losses as before.

Help them;

(a) Work out a plan to be used to implement the planned business activities.
(b) Prepare a budget for the projected business expenses worth 46,000,000.

Item 2

Fashion and design is one of the fields least invested in but yields a lot of income to those that have given it an attempt to start it. **NMK** a S6 vacist has realized this market gap / business opportunity and intends to start a decoration business due to the big number functions taking place in his home town ranging from birthdays, baby showers, introductions and weddings which those offering the service are very few and proud of themselves when contacted by the clients. He is however scared of the competition with earlier investors who have a lot of capital and experience in the business.

Task

Guide him on

a) Which guidelines can be employed by NMK to have a high competitive advantage for the business in the scenario.
b) Designing a policy that he shall use to properly handle the business' inventory.

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SECTION B:

Respond to any **one** *item from this section*

Item 3

Munga General enterprises is a hardware shop located in the Kyankwanzi along the the Kampala Kiboga highway. They deal in quiet a range of products. Of recent the Uganda revenue authority visited their shop to check on their tax compliance. However, they did not know how taxes were computed.

You have been contacted by Munga Gernal enterprises and they have availed you with the following VAT exclusive transactions for the month of July 2026.

(i) Racheal bought a mixing machine worth Shs. 80,000,000
(ii) She sold it to GBK General enterprises for shs. 90,000,000.
(iii) GBK sold the mixing machine to Munga General enterprises for shs. 100,000,000
(iv) Munga General Enterprises sold the same machine to Renet for shs. 120,000,000

Using the VAT rate of 18%

Task

(a) Compute for Munga General Enterprises' VAT chargeable at each stage.
(b) Compute and Advice Munga General Enterprises the would be VAT inclusive price for the mixing machine.

Item 4

Mukasa owns two businesses. One is a shop located in Mpigi and while another is a carpentry located in Wakiso. Every year, he derives 135 million from the shop in Mpigi and 65 million from the workshop in Wakiso. Mukasa is not good at keeping records but has a counter book where he records daily sales.

Mr Mukasa received 135m from the supply of his products to Kira Investments in Mpigi during 2014/2015 of which 8.1m (6% on 135m) was withheld by Kira Investments. From the beginning of the year, he incurred the following costs.

i. Production costs.....22m
ii. Direct costs (e.g Transportation of products).....5m
iii. Administration costs (including Annual salary for 2 employees.....24m
Annual rent for store.....8m
Fuel expenses.....14m
iv. Annual staff party.....9m

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Table 1

Gross turnover per annum	With records	Without records
Not exceeding UGX 10 million	NIL	NIL
Exceeding UGX 10 million but does not exceed UGX 30 million	0.4% of annual turn-over in excess of 10 million	UGX 80,000
Exceeding UGX 30 million but does not exceed UGX 50 million	UGX 80,000 plus 0.5% of annual turnover in excess of UGX 30 million	UGX 200,000
Exceeding UGX 50 million but does not exceed UGX 80 million	UGX 180,000 plus 0.6% of annual turnover in excess of UGX 50 million	UGX 400,000
Exceeding UGX 80 million but does not exceed UGX 150 million	UGX 360,000 plus 0.7% of annual turnover in excess of UGX 80 million	UGX 900,000

Table 2

Chargeable income	Rate of tax
Not exceeding Ushs 2,820,000	NIL
Exceeding Ushs. 2,820,000 but not exceeding Ushs. 4,020,000	10% of the amount by which chargeable income exceeds Ushs. 2,820,000
Exceeding Ushs. 4,020,000 but not exceeding Ushs. 4,920,000	Ushs. 120,000 plus 20% of the amount by which chargeable income exceeds Ushs. 4,020,000
Exceeding Ushs. 4,920,000	(a) Ushs. 300,000 plus 30% of the amount by which chargeable income exceeds Ushs. 4,920,000 (b) Where the chargeable income of an individual exceeds Ushs 120,000,000. An additional 10% charged on the amount by which chargeable income exceeds 120,000,000

Task

(a) Using table 1; Compare Mukasa's presumptive income tax payable every year in both situations if he was computing records and when not computing records. Advise him accordingly.

(b) Using table 2, Calculate his Income Tax Liability for 2014/2015.

END

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